

interest charges. The total amount to be repaid would be \$4,877!

This big picture scenario was just too depressing to think about. Teri preferred to live in her fantasy world of having perfect credit and never missing a payment. Although she has not yet been forced to confront her debt, she will be forced to eventually do so if she continues to acquire more credit. One day, her minimum payments will surpass her ability to pay and then it may be too late!

The fact is that Teri should never have gotten more than two credit cards in the first place. Credit is a necessity in today's society, but how much is too much? Normally, several credit cards are sufficient. A walletful, as in Teri's case, is excessive. She needed to realize that having lots of credit cards did not necessarily signal that she was rich, but it could signal that she was in debt. Teri made several mistakes:

1. Getting too many credit cards
2. Not paying them off in full each month
3. Paying only the minimum payment in addition to continuing to charge more purchases

All these mistakes compounded with the result that Teri was accumulating more debt than she would soon be able to handle.

Fortunately for Teri, it is not yet too late. She is still able to handle her minimum payments. Her next step should be to get rid of all of her credit cards except for a few with the lowest interest rate. Then she should start paying more than the minimum payment each month. Soon she will actually start reducing her debt. Most importantly, she needs to curb her spending patterns. Cutting down on her spending will eventually make the biggest impact on her debt level.

